

Discussion of "Banking Supervision, Monetary Policy and Risk Taking: Big Data Evidence from 15 Credit Registers"

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Discussed by
Clodomiro Ferreira
Bank of Spain

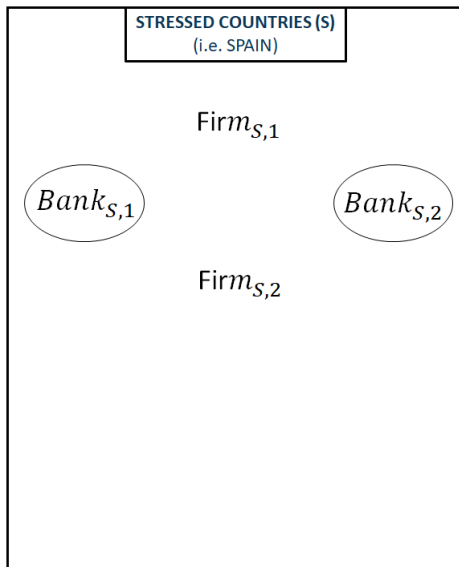
ESSIM
Tarragona, May 8th 2018

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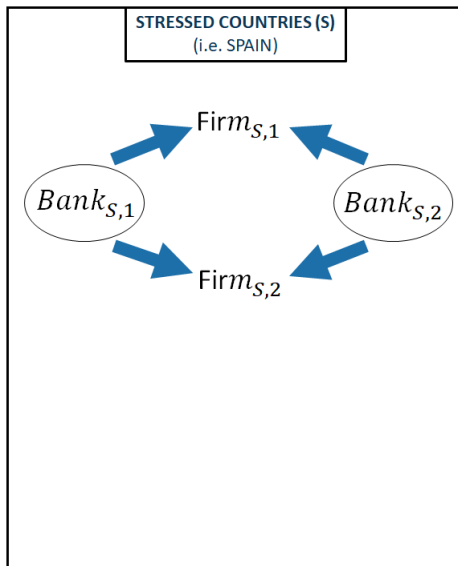
In a nutshell

- Impressive data, which opens a new dimension for
 - screening among alternative theories.
 - Better identification
 - External validity
- Interesting results on very relevant policy questions
- The tip of the iceberg...

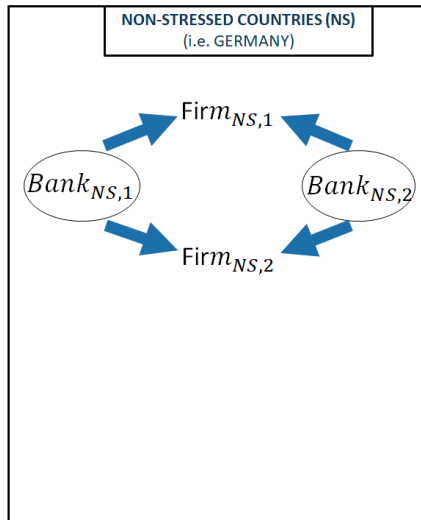
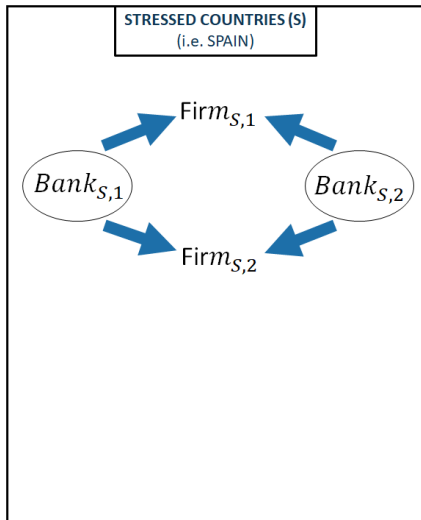
The data



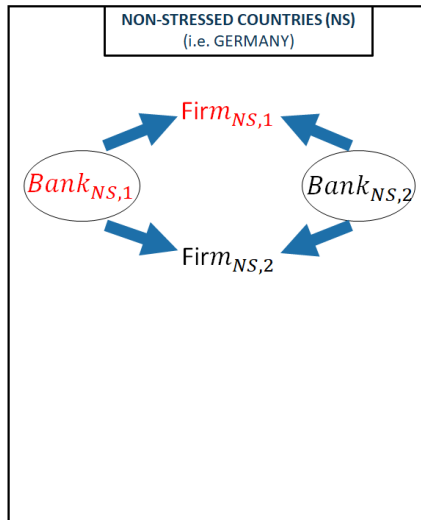
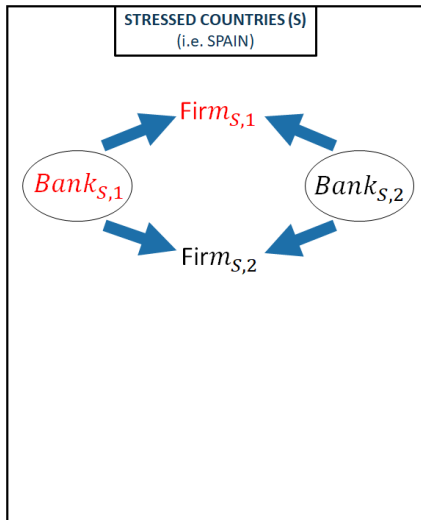
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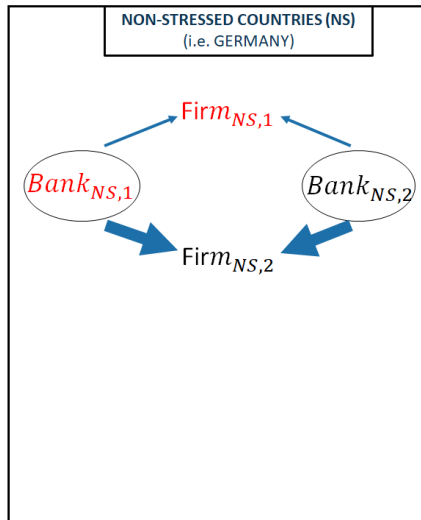
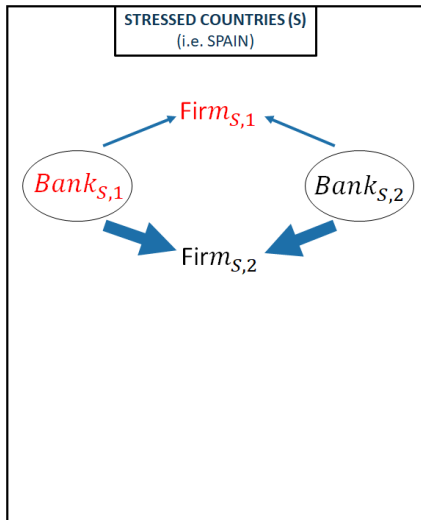


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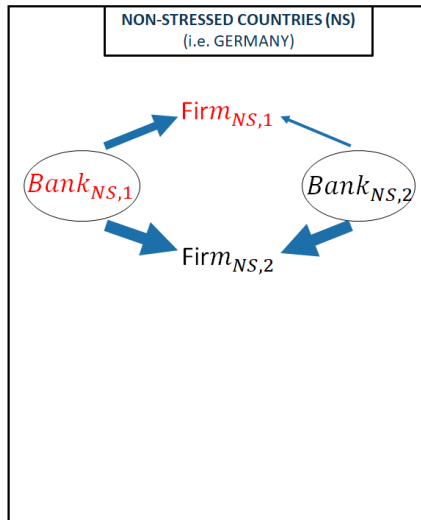
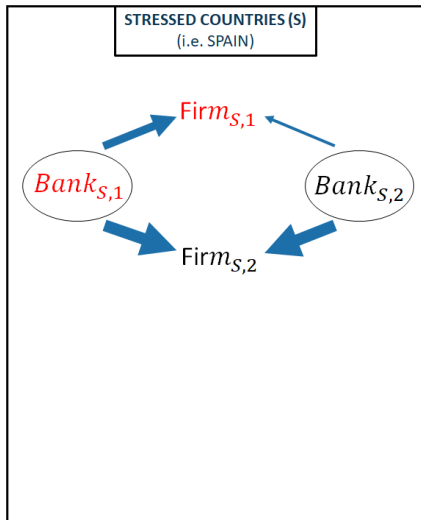


RISKY BANKS AND RISKY FIRMS

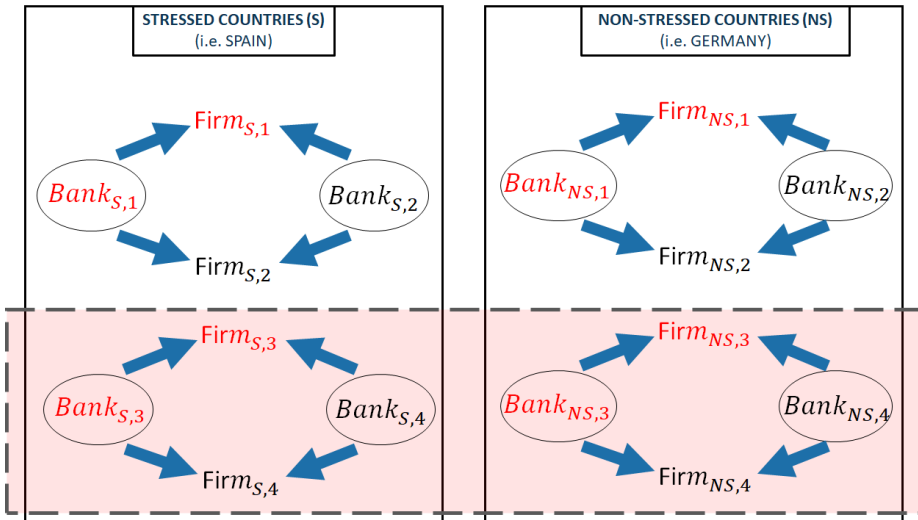
Result 1: Risky firms receive less loans...



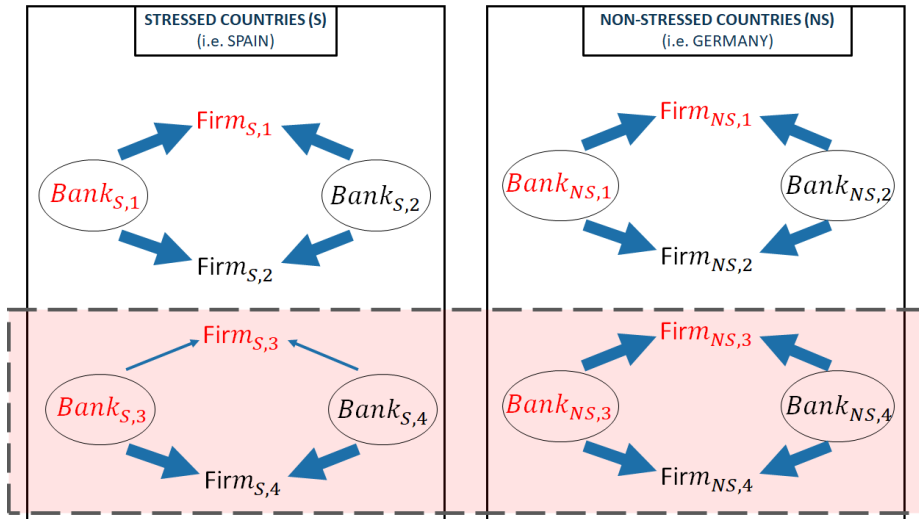
Result 1: ... though risky banks are more lenient



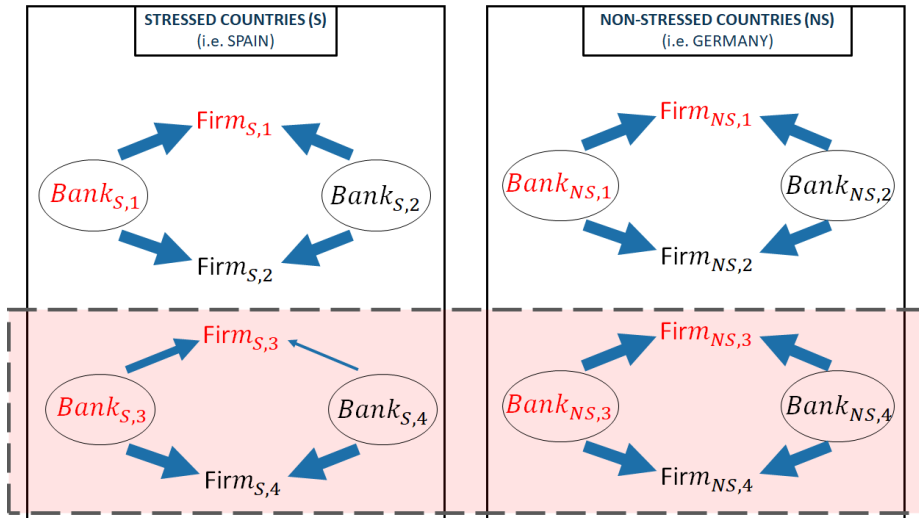
LOCAL VS CENTRAL SUPERVISION



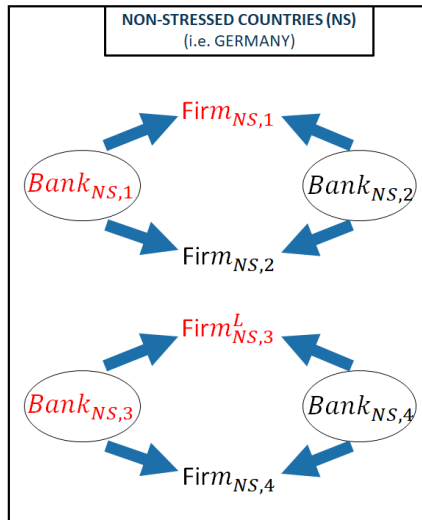
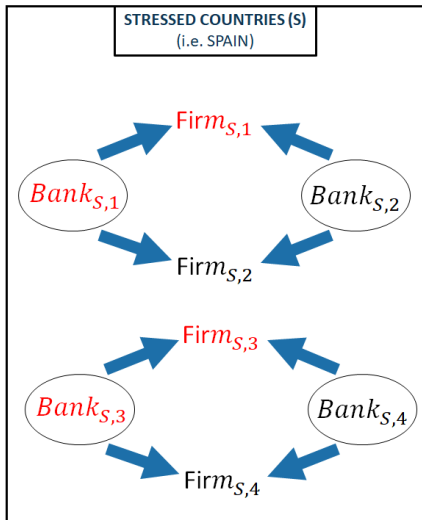
Result 2: Supra-national supervision affects lending by banks in stressed countries...

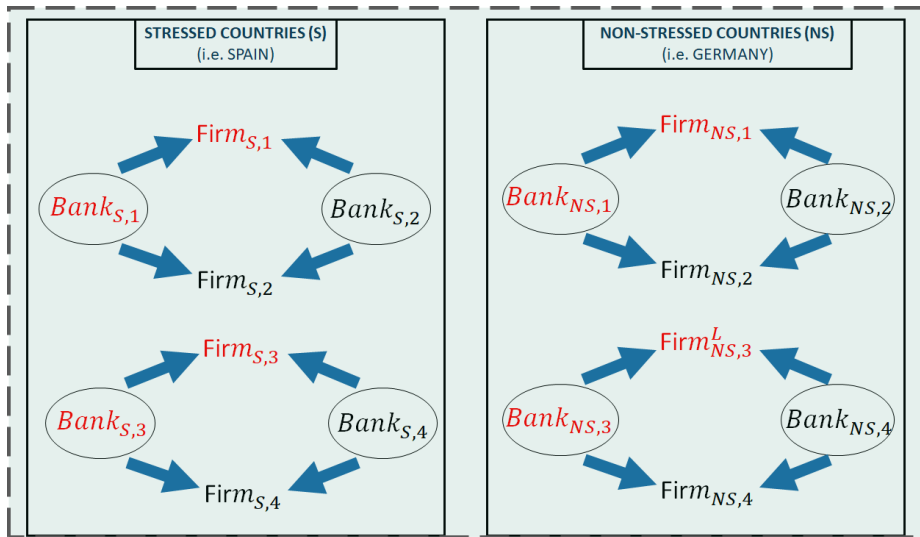


Result 2: ... but, again, riskier banks are more lenient.

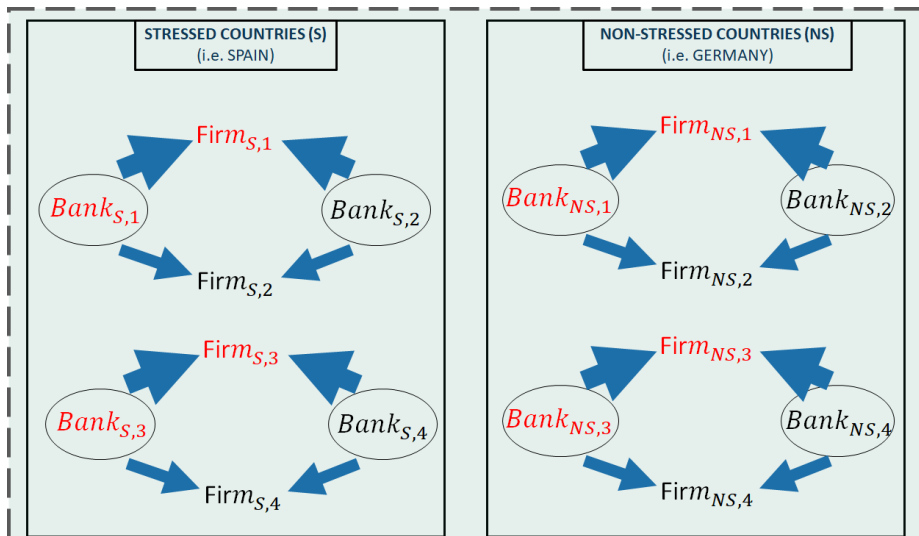


LOCAL VS CENTRAL SUPERVISION AND MONETARY POLICY

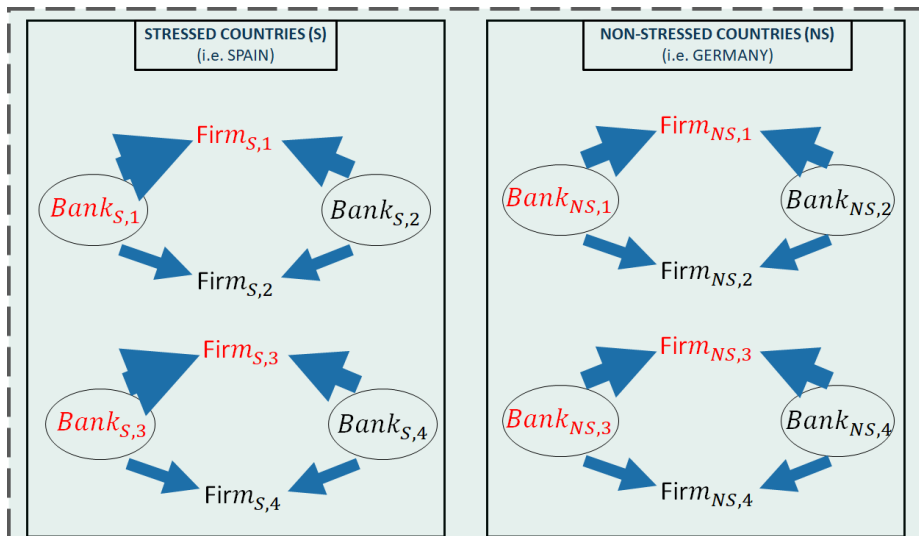




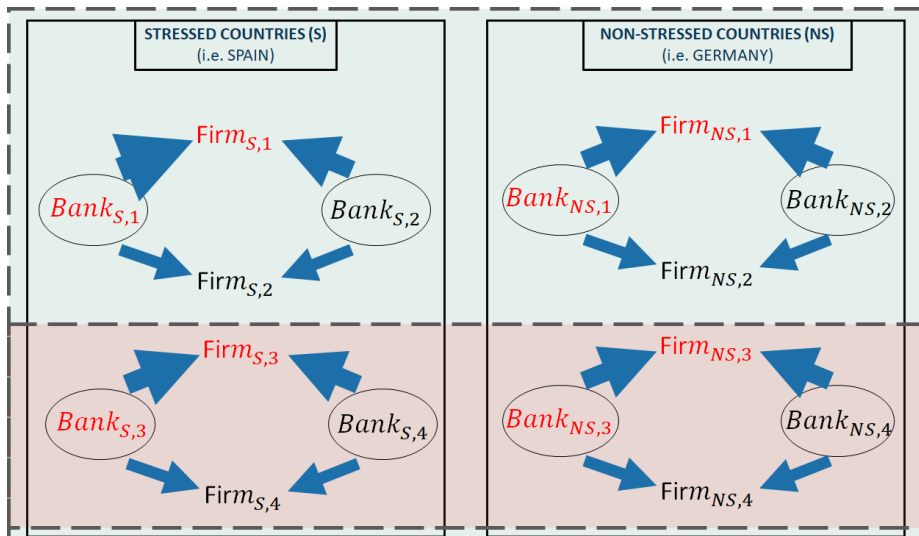
Result 3: Monetary policy easing induces risk-taking, ...



Result 3: ... and more so by risky banks in stressed countries ...



Result 3: though central sup. partially offsets this in stressed countries



SOME COMMENTS / SUGGESTIONS / CURIOSITIES

Screening among alternative theories?

- Granularity of the data should help to better **screen** among **competing theories** of
 - supervision under asymmetric information
 - Banks - government feedback loop
- **Strategic interaction** at different levels

Banks $\longleftrightarrow$ **Local supervision** $\longleftrightarrow$ **Central supervision**

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Screening among alternative theories? (cnt'd)

- Theories **within country**:
 - pecuniary externalities: banks don't internalize impact of leveraging up
 - More risk than what is socially optimal.
 - Well designed supervision can improve outcome.
- Theories of **supra-national** vs. **local** supervision: less clear.
 - Local and central agencies: **different** objectives. **Moral hazard**
 - **Bias** of local agency vs. **cost** of collecting info.

Supra-national supervision may **increase or decrease** overall risk in the banking sector.

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Non-linear effects?

- The current econometric model:

$$Loans_{b,f,t} = \alpha^{FE} + \gamma NPL_{b,t-1} + \delta BQ_{f,t-1} + \beta (NPL_{b,t-1} \times BQ_{f,t-1}) + \epsilon_{b,f,t}$$

- Key: linear in bank and firm riskiness.
- A bit restrictive, given the nature of risk and risk-taking behaviour.
- Allow for non-linear effects, semi-parametrically. Define, for NPL,

$$I_{b,t}^{NPL}(\mathbf{g}) = \begin{cases} 1 & \text{if } NPL_{b,t-1} \in \text{group } \mathbf{g} \text{ of support of } NPL \\ 0 & \text{otherwise} \end{cases}$$

Then one can estimate

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Other (random and unfair) comments

- **Informational effects** of Monetary policy? Nakamura & Steinsson (2018)
- Robustness: other risk proxies as RHS variable?

Overall

- The paper gives us a hint of the world that opens up with AnaCredit
- Tackles a series of questions both intellectually interesting and very policy-relevant
- A lot of potential to screen among theories of regulation, supervision and risk taking...
- ... but I think more can be done in this respect